

**SUBSTITUTE FOR
SENATE BILL NO. 213**

A bill to amend 1984 PA 270, entitled
"Michigan strategic fund act,"
(MCL 125.2001 to 125.2094) by amending the title, as amended by
2005 PA 225, and by adding section 9c.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

TITLE

An act relating to the economic development of this state; to
create the Michigan strategic fund and to prescribe its powers and
duties; to transfer and provide for the acquisition and succession
to the rights, properties, obligations, and duties of the job
development authority and the Michigan economic development
authority to the Michigan strategic fund; to provide for the
expenditure of proceeds in certain funds to which the Michigan



1 strategic fund succeeds in ownership; to provide for the issuance
 2 of, and terms and conditions for, certain notes and bonds of the
 3 Michigan strategic fund; to create certain boards and funds; to
 4 create certain permanent funds; to exempt the property, income, and
 5 operation of the fund and its bonds and notes, and the interest
 6 thereon, from certain taxes; to provide for the creation of certain
 7 centers within and for the purposes of the Michigan strategic fund;
 8 to provide for the creation and funding of certain accounts for
 9 certain purposes; to impose certain powers and duties upon certain
 10 officials, departments, and authorities of this state; to make
 11 certain loans, grants, and investments; **to create the strategic**
 12 **advisory board and prescribe its powers and duties; to provide for**
 13 **the development of a certain strategic plan for this state;** to
 14 provide penalties; to make an appropriation; and to repeal acts and
 15 parts of acts.

16 **Sec. 9c. (1) Not later than 1 year after the appointment of**
 17 **the members of the strategic advisory board, the strategic advisory**
 18 **board shall develop a strategic plan for specific economic**
 19 **development activities for the next 10 years for this state as a**
 20 **whole. Upon completion, the strategic advisory board shall submit**
 21 **the strategic plan to the governor, the senate majority leader, the**
 22 **speaker of the house of representatives, and the MEDC.**

23 **(2) Not later than September 30 of the year after the year in**
 24 **which the strategic plan is completed and submitted under**
 25 **subsection (1) and September 30 of each year thereafter, the MEDC,**
 26 **in cooperation with each of the departments that had a**
 27 **representative on the strategic advisory board, shall update the**
 28 **strategic plan.**

29 **(3) The strategic plan described in subsection (1) must**



1 include all of the following:

2 (a) The identification of specific goals and objectives for
3 economic development and the development of quantifiable metrics
4 and performance measures, anchored in population growth and the
5 success and prosperity of residents. The goals and objectives
6 identified by the plan must include, but are not limited to, all of
7 the following:

8 (i) Encouraging growth that promotes economic opportunity and
9 improves the quality of life for all residents of this state.

10 (ii) Providing incentives that promote and encourage natural
11 resource-based industries, including agriculture, forestry,
12 fishing, mining, and recreational tourism.

13 (iii) Providing appropriate incentives for economic development
14 in rural areas.

15 (iv) Providing appropriate incentives for economic development
16 in suburban areas.

17 (v) Providing appropriate incentives for economic development
18 in and redevelopment of urban areas.

19 (vi) Determining and developing, in an orderly and fiscally
20 responsible manner, infrastructure needed for rural, suburban, and
21 urban development.

22 (vii) Providing a framework for the development and
23 rehabilitation of affordable housing in this state.

24 (viii) Ensuring that water is available to serve the needs of
25 the residents of this state and that beneficial uses of water are
26 considered and protected.

27 (ix) Encouraging, consistent with the needs and circumstances
28 of the governmental subdivisions, compact and efficient patterns of
29 development that minimize consumption of land, protect natural



resources, enhance mobility of people and goods, promote efficient expenditure of public funds, and reduce resource and energy consumption.

(x) Protecting the environment and the quality of this state's land, water, and air.

(xi) Conserving and protecting open space, scenic and natural areas, recreational areas, and endangered, unique, and threatened plant and animal species and their habitat.

(xii) Protecting and enhancing this state's natural, cultural, and historic resources to maintain this state's heritage and further its tourist economy.

(xiii) Protecting both public and private property interests as established by law.

(xiv) Ensuring that the delivery of state services that promote the health and welfare of the residents of this state is cost-effective and reaches residents in need.

(xv) Providing, in cooperation with local school districts, access to educational programs that will provide all residents of this state an equal opportunity to obtain the skills necessary to compete effectively in the global marketplace.

(xvi) Promoting the development and operation of an educationally and economically sound, vigorous, progressive, and coordinated system of higher education in this state.

(xvii) Ensuring the protection and safety of the residents of this state from danger and harm.

(b) The identification of specific strategies, taking a whole-of-government approach, to achieve the goals and objectives identified under subdivision (a). The specific strategies must include, but are not limited to, all of the following:



1 (i) An inventory of this state's existing infrastructure,
2 including transportation networks, correctional facilities,
3 educational institutions, public health facilities, water supply
4 and treatment facilities, sewerage systems and wastewater treatment
5 systems, and solid waste management disposal facilities, and an
6 analysis of the extent to which additions or improvements will be
7 needed to accommodate anticipated population and economic growth.

8 (ii) Strategies consistent with the goals and other plan
9 elements for the economic development of this state that include an
10 inventory and assessment of this state's economic base, labor force
11 characteristics, educational opportunities necessary to train the
12 labor force, affordable housing characteristics, and economic
13 development opportunities and resources, including the development
14 of economically disadvantaged areas and redevelopment of urban
15 areas, and a determination of what can be done to support retention
16 and expansion of existing businesses and attract new businesses and
17 industries.

18 (iii) Strategies consistent with the goals and other plan
19 elements to support and maintain the viability of agricultural and
20 forestry activities through specific programs that include measures
21 to protect unique and prime agricultural and forestry lands.

22 (iv) Strategies consistent with the goals and plan elements
23 that will meet the long-range transportation needs of this state.

24 (v) Strategies consistent with the goals and other plan
25 elements for the protection of this state's natural, historic, and
26 living resources that are based on an inventory of resources,
27 including groundwater supply; coastal resources; river watersheds;
28 floodplains; major park, recreation, and conservation areas;
29 historic resources; wetlands; and state-owned lands.



1 (vi) Strategies consistent with the goals and other plan
2 elements for the protection and safety of the residents of this
3 state.

4 (c) The identification and analysis of this state's strategic
5 assets.

6 (d) The identification and analysis of this state's
7 competitive landscape.

8 (e) An analysis of the historical performance of this state's
9 economic development strategies. The analysis must consider whether
10 the economic development strategies resulted in outcomes that
11 increased the success and prosperity of the residents of this
12 state, including, but not limited to, whether each strategy led to
13 1 or more of the following:

14 (i) Higher median income.

15 (ii) Population growth.

16 (iii) Increased educational attainment.

17 (f) A process to evaluate this state's effectiveness in
18 exercising the powers and duties conferred by this act, including
19 the MEDC's ability to work with other state, regional, and local
20 economic development organizations.

21 (g) A process to evaluate this state's effectiveness in
22 achieving progress toward the quantifiable metrics and performance
23 measures as defined in the plan and to make recommendations for
24 achieving those metrics and measures.

25 (h) A strategy for coordinating with state agencies that
26 administer housing, educational, workforce, transportation, and
27 environmental programs as they interact with this state's economic
28 development strategy.

29 (4) In developing the strategic plan described in subsection



(1), the strategic advisory board shall do all of the following:

(a) Consult with key economic development partners, including, but not limited to, all of the following:

(i) State, regional, and local economic development agencies and organizations.

(ii) Urban, suburban, and rural stakeholders.

(b) Consider and incorporate as applicable all of the following:

(i) Any reports of the growing Michigan together council.

(ii) The statewide housing plan developed by the Michigan state housing development authority.

(iii) The statewide educational attainment plan, known as 60 by 30, to increase the number of working-age adults with a skill certificate or college degree to 60% by 2030.

(iv) The Michigan statewide workforce plan approved by the Michigan workforce development board.

(v) The MI Healthy Climate Plan developed by the Michigan department of environment, Great Lakes, and energy through its office of climate and energy.

(vi) The department of health and human services' strategic priorities to improve health outcomes.

(vii) The Michigan Mobility 2045 Plan developed by the department of transportation.

(viii) Michigan's statewide comprehensive literacy plan developed by the department of education.

(ix) Any initiatives, goals, or action plans released or recommended by the department of lifelong education, advancement, and potential.

(5) Not later than 1 year after the strategic advisory board



1 submitted the strategic plan under subsection, the MEDC shall, in
2 cooperation with each of the departments that had a representative
3 on the strategic advisory board, submit a report on the strategic
4 plan, any modifications to the strategic plan, and this state's
5 progress towards meeting the goals and objectives in the strategic
6 plan.

7 (6) The MEDC shall submit the report required under subsection
8 (5) to all of the following and publish the report on the website
9 of the fund or the Michigan economic development corporation:

10 (a) The governor.

11 (b) The house committee on economic competitiveness.

12 (c) The senate economic and community development committee.

13 (d) The house appropriations subcommittee on labor and
14 economic opportunity.

15 (e) The senate appropriations subcommittee on LEO/MEDC.

16 Enacting section 1. This amendatory act does not take effect
17 unless Senate Bill No. 214 of the 103rd Legislature is enacted into
18 law.